

Feature Engineering Report

This report documents the phase-one feature engineering workflow used to forecast Botswana food inflation. The daily Baltic Dry Index series was transformed into monthly signals that preserve supply-chain information lost in a plain mean-only aggregation. The selected variables include monthly BDI mean, standard deviation, range, coefficient of variation, return, month-to-month directional movement, extreme-day counts, and rolling 3-month summary signals. These features were merged with Brent crude prices, Botswana policy rates, general CPI, and food CPI to create a cross-dataset monthly panel. The target variable is 12-month food-price inflation.